

The 5% Economy

1,000 indie startups with payment-verified revenue. The data shows a brutal power law — **and exactly what wins, and where to buy in.**

\$15.6M

combined verified revenue,
last 30 days

\$400

the median startup's
monthly revenue

75%

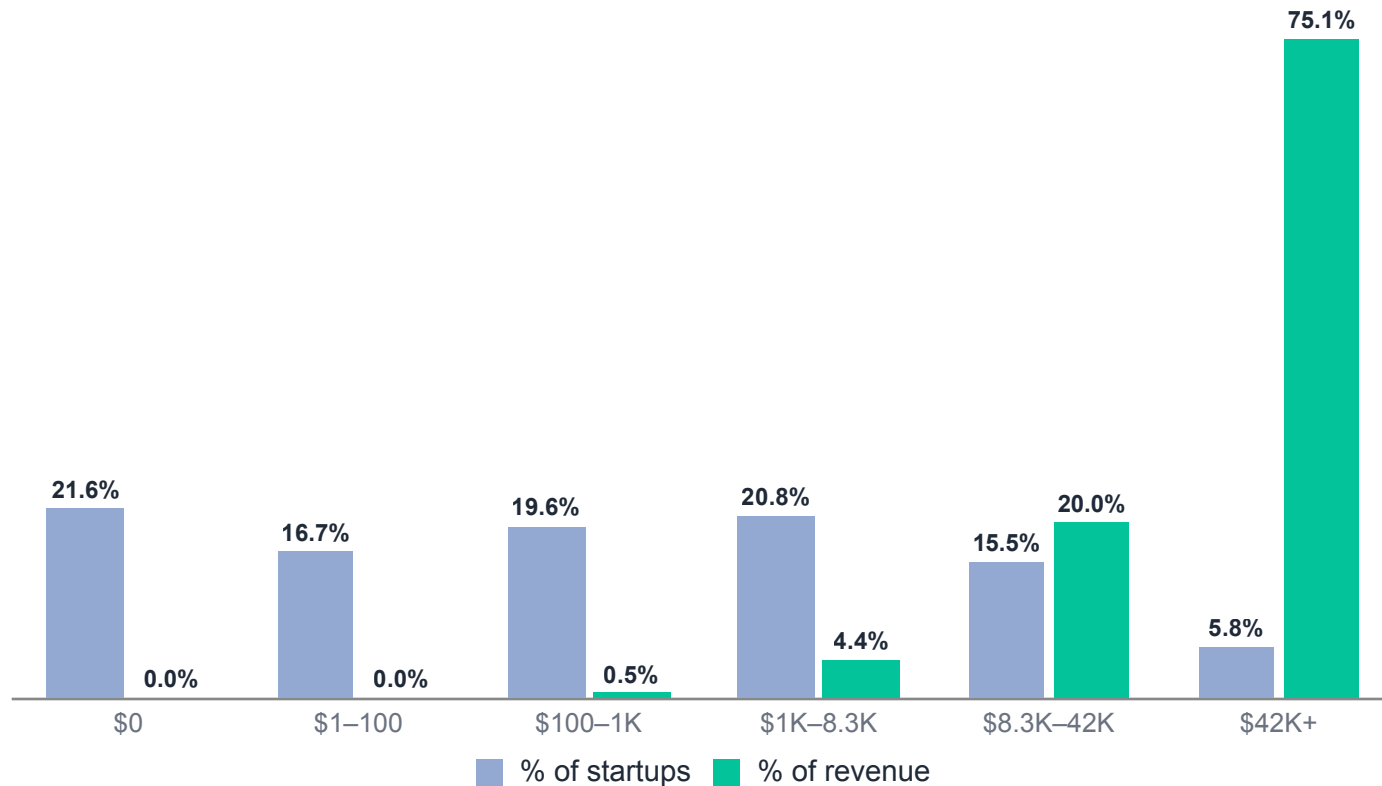
of all revenue earned by
the top 5.8% of startups

2.4×

median asking price on
for-sale startups (× revenue)

A power law, not a bell curve

Share of startups vs share of combined 30-day revenue, by monthly-revenue tier · \$8.3K/mo ≈ \$100K ARR pace



50%

of all revenue comes from just 10 startups.

38%

of startups earn less than \$100 a month.

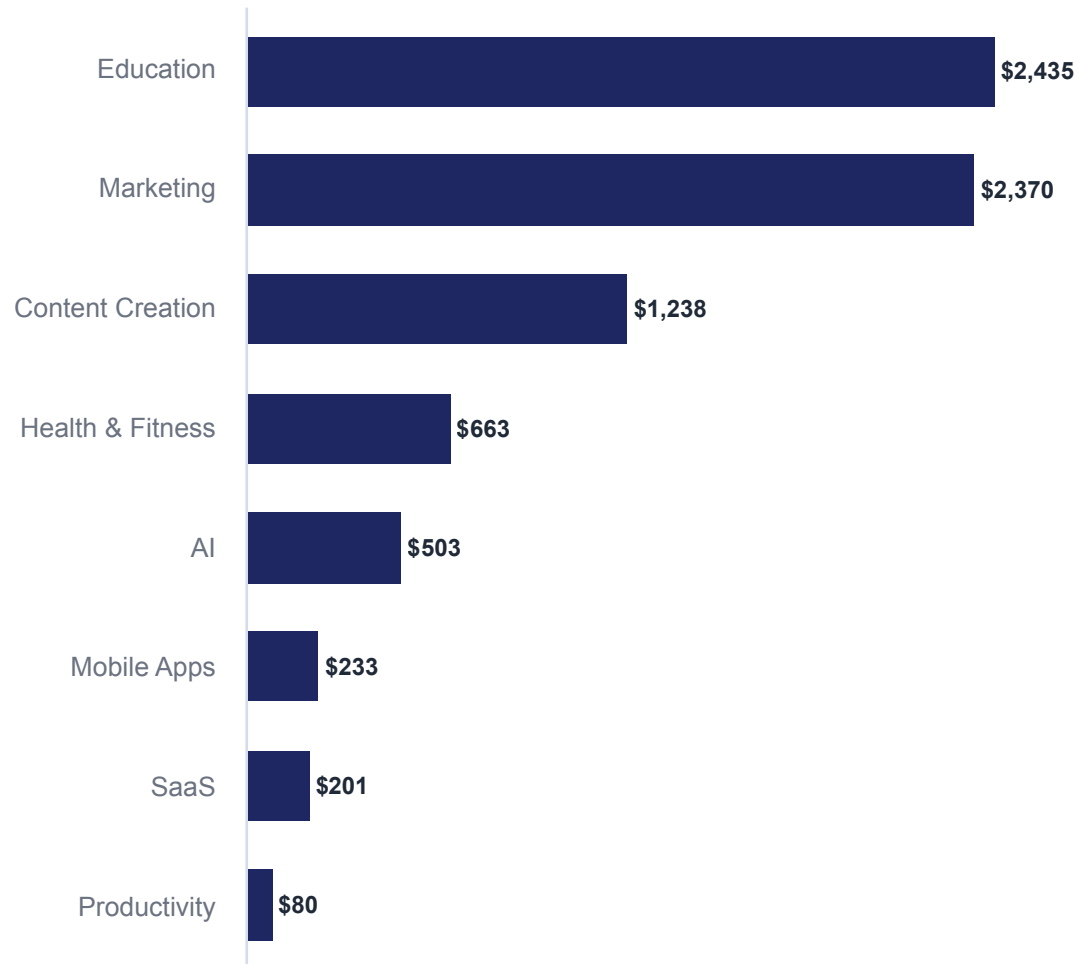
0%

median MRR growth — only the \$42K+ tier is still compounding (+0.7%).

A blind pick has a 1-in-17 chance of hitting the tier that earns 75% of the money — **own a basket, not a bet.**

Hype doesn't pay. Pricing power does.

Median monthly revenue by category (categories with ≥ 30 startups) · winner traits from the top-100 earners



MYTH

“An audience = revenue”

Follower count barely correlates with revenue ($r = 0.18$). Half of the top-100 earners have ≤ 212 followers on X.

MYTH

“AI is the opportunity”

AI is the most crowded label — 27% of categorized startups — yet its median is \$503/mo, $\sim 5\times$ below Education and Marketing tools.

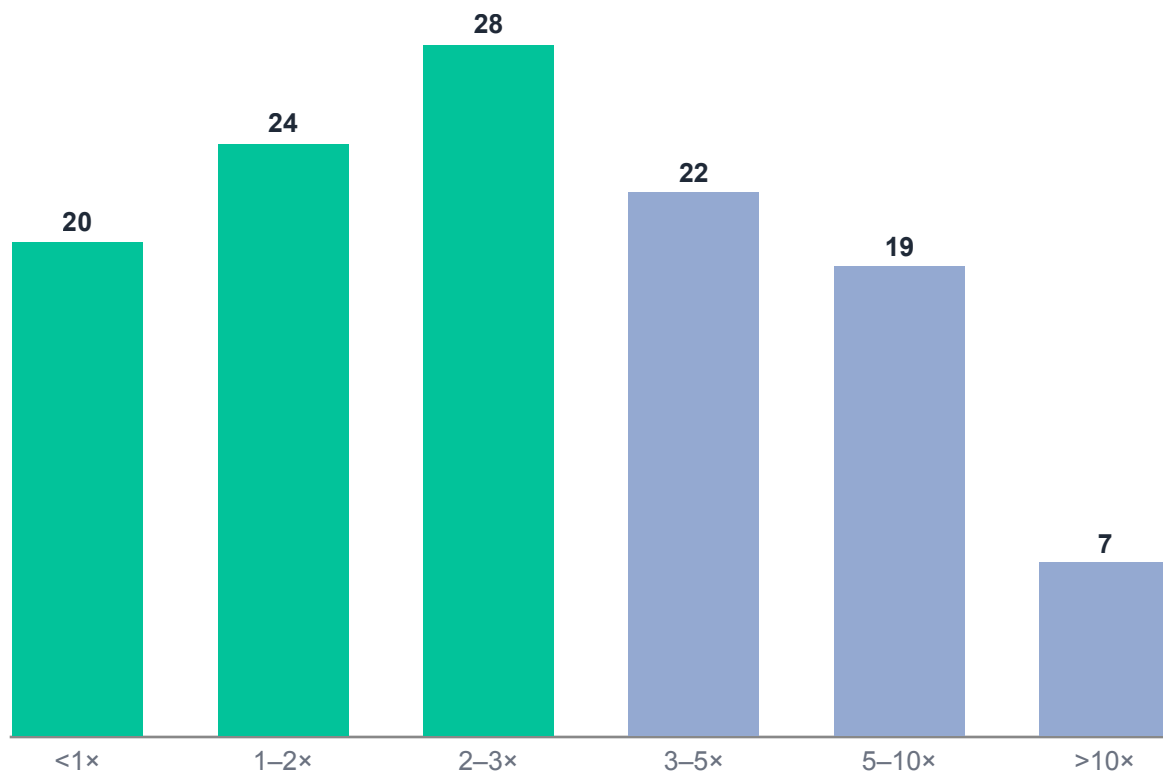
SIGNAL

B2B + pricing power

B2B is 36% of the market but 55% of the top 100. Median B2B revenue is $4\times$ B2C (\$1,240 vs \$304), and top-100 ARPU is \$53 vs a \$20 norm.

The entry point: cash flow at 2.4× revenue

Asking price as a multiple of trailing-12-month revenue — for-sale listings with ≥ \$10K verified revenue (n = 120)



60% of real-revenue listings ask ≤ 3× trailing revenue.

26%

of the entire dataset is openly for sale — 262 startups with \$20.5M in combined trailing revenue.

2.4×

median ask on trailing revenue (IQR 1.5–4.7×).
Public-SaaS benchmark: ~6× (BVP Cloud Index).

PRICED-IN RISK

Only 29% of these listings are still growing MRR. The discount is real — and so is the reason. Diversify, and pay ≤ 3×.

Public SaaS: ~6× revenue. Verified micro-SaaS: 2.4× — the discount is the fee for doing the filtering yourself.

Buy the basket, not the lottery ticket

The same dataset yields the screen: from 1,000 startups to 46 investable targets.

1,000

verified startups

387

≥ \$10K trailing revenue

209

...and ≥ \$1K MRR, not shrinking

65

...and openly for sale

46

...and asking ≤ 3× revenue

1

Own the power law

Back 15–25 names, not one. The top tier's 75% revenue share does the compounding for you.

2

Screen on economics, not hype

B2B, ~\$50 ARPU, payment-verified revenue. Ignore follower counts and buzzwords — they don't correlate.

3

Pay ≤ 3× trailing revenue

At the 2.4× median, flat revenue pays back in ~2½ years — and one breakout carries the whole basket.